



Qualification Programme Examination Panelists' Report

Module 12 – Business Finance (December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Overall performance in this section was not satisfactory. Candidates were weak in calculations and in applications of theory and frameworks to answer questions. Moreover, candidates are strongly advised to read the case and question requirements carefully before answering questions. Merely copying materials from the learning pack without application to case information should be avoided. Candidates should also manage their time wisely so that they can complete all examination questions timely.

Specific Comments

Question 1(a) – 10 marks

This question required candidates to apply the most suitable strategic model to conduct a business environment analysis and report findings to the board of directors of the Group in the coming meeting. Most of candidates were able to use PESTEL model to conduct business environment analysis for the Group, but a lot of candidates were not able to identify and discuss the short term and long term environmental impacts to the Group. Some candidates tended to copy materials directly from the learning pack in their answers (and lost marks as a result). Overall, this question was not answered satisfactorily.

Question 1(b) – 5 marks

This question required candidates to identify the ethical issues and propose a response to the suggestion proposed by the director in relation to the application of the government subsidy. Most candidates correctly used the Code of Ethics of Hong Kong Institute of Certified Public Accountants to answer this question, but many candidates answered the question from the perspective of the director instead of the CFO and mentioned that directors had to follow the Code of Ethics of the Hong Kong Institute of Public Certified Accountants which was not appropriate. Candidates should look at the question carefully before answering the question. Overall, this question was not answered satisfactorily.



Question 2 – 10 marks

This question required candidates to recommend the most suitable change management models and explain how the board of directors can use these models to implement the change to start the take-away business and to digitalise the ordering processes to revitalise the Group's business. Most candidates were able to recommend and apply Kotter's change management model with case materials to answer this question, but some candidates just copied materials from the learning pack without applying the case materials in their answers (and lost marks as a result). Overall, this question was answered satisfactorily.

Question 3 – 15 marks

This question required candidates to use various quantitative project appraisal techniques to evaluate and advise whether the Group should invest in the online take-away ordering system. Most candidates used NPV techniques but did not add back depreciation to calculate the net cash flow. Furthermore, some candidates were not able to use appropriate discount rate thus displaying weakness in technical knowledge in NPV calculations. Some candidates were confused of ARR and IRR calculations. Some candidates did not compare project appraisal techniques when they evaluated and advised whether the Group should invest in the online take-away ordering system. Overall, this question was not answered satisfactorily.

Question 4 – 10 marks

This question required candidates to advise the appropriate theory and framework regarding sources of financing that the Group could use to raise financing for the new take-away business and evaluate the financial alternatives available to the Group. Many candidates were not able to use pecking order theory and FRICTO framework to advise and evaluate the sources of financing to the Group. Some candidates just discussed pros and cons of different financing methods without applying theory and framework this did not meet the requirements of the question. Many candidates tended to copy materials directly from the learning pack without applying case materials in their answers thus losing marks. Overall, this question was not answered satisfactorily.

(II) Section B – Essay/Short Questions

General Comments

The overall performance was not satisfactory. Candidates performed weak in both calculations and providing advice. The candidates displayed weak analytical skills especially when asked to provide financial implications under various scenarios given in the question.



Specific Comments

Question 5(a) – 8 marks

This question required candidates to calculate the fair value of various financing proposals and recommend which proposal is more beneficial.

The performance of this question was poor.

Some candidates were able to adopt discounted cashflow approach to calculate the fair value. However, many candidates failed to consider the tax rate and some candidates calculated from an investors' point of view instead of an issuer perspective. Some candidates did not show their calculations with clear steps as well as cash flow to better demonstrate their logic.

Question 5(b) – 5 marks

This question required candidates to advise qualitative considerations for a financing arrangement.

The performance of this question was poor.

Many candidates just focused on the potential dilution effect and only a few candidates were able to address the uncurtaining for the issuer and whether the investor would convert the bond. Most candidates failed to address the liquidity or cashflow impact perspectives in relation to convertible bonds.

Question 5(c) – 5 marks

This question required candidates to advise the regulatory framework for each financing proposal and the respective requirements.

The performance of this question was poor.

The answers provided by candidates were very general without specifically addressing the requirements of each proposal for bonds and convertible bonds.

Question 6(a) – 4 marks

This question required candidates to calculate the financial implications in Euro of the given scenario without any hedging and with hedging of the whole receivable balance.

The performance of this question was not satisfactory.

Many candidates did not consider the impact of foreign exchange, and did not state whether the option should be exercised or not.



Some candidates were not familiar with the nature of options, which provides flexibility for not exercising.

Question 6(b) – 6 marks

This question required candidates to simulate the financial impact for various given scenarios.

The performance of this question was not satisfactory.

Candidates were weak in quantifying financial implications and comparing between given scenarios. Many candidates just provided a generic discussion of each hedging solution without any calculation. Some candidates provided the accounting treatment of each scenario which is irrelevant.

Question 6(c) – 4 marks

The question required candidates to justify whether a forward contract is more preferable compared to a call option.

The performance of this question was not satisfactory.

Most candidates were able to point out the advantage of using a forward contract, but many candidates were unable to justify their comments with adequate and relevant elaboration referring to the given scenarios.

Question 7(a) – 7 marks

This question required candidates to prepare an email to compare and contrast Balanced Scorecard and Performance Pyramid as performance measurement mechanisms of the financial strategy.

The performance of this question was fair.

Most candidates just provided a generic discussion regarding the features of the two-measurement mechanism. Candidates were unable to point out the difference between Balanced Scorecard and Performance Pyramid and referred to the specific nature of given scenarios that expecting measurement and monitoring on business unit level.

Some good candidates were able to point out the performance measurement mechanism that can be dedicated to measure performance at business unit levels which addressed the specific requirement given in the case facts.

Question 7(b) – 6 marks

This question required candidates to list two pros and cons regarding setting up a new legal entity for a business unit.



The performance of this question was poor.

Most candidates provided a generic discussion of the requirements of setting up a legal entity but were unable to provide relevant arguments referring to the given case. Some candidates even misunderstood the question requirement by discussing setting up a new e-commerce business or new legal firm which is irrelevant to the case.

Question 7(c) – 5 marks

This question required candidates to advise on how to use social media harvesting to support an e-commerce business and highlight its benefits.

The performance of this question was not satisfactory.

Most candidates just provided generic discussion on big data and the nature of big data. Only a few candidates were able to address the advantage of social media harvesting that will not attract attention. Most candidates were unable to address the specific nature of social media harvesting.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was poor. To better answer the questions, candidates should be familiar with technical and practical knowledge, such as NPV and IRR calculations, PESTEL model, FRICTO framework and apply them to solve questions with the careful use of case information. Again, merely copying materials from learning packs without applying to case materials in answers is not suggested.

Further candidates should strengthen their abilities to provide sound financial implication analysis, backed by solid calculation and provide relevant arguments relating to the specific question and the given case.

Candidates should improve their time management skills so they can complete all questions in the examination. Candidates should also practice using past examination papers to strengthen their analytical and writing skills that are essential in Module 12 examinations.